

“nonrecurring” are taking a page from Hazlitt, who urged his readers “to take no note of time but by its benefits, to watch only for the smiles and neglect the frowns of fate, to compose our lives of bright and gentle moments, turning away to the sunny side of things, and letting the rest slip from our imaginations, unheeded or forgotten!” (William Hazlitt, “On a Sun-Dial,” ca.1827.) Unfortunately, investors must always count the sunny and dark hours alike.

*** _** The company to which Graham refers so coyly appears to be American Machine & Foundry (or AMF Corp.), one of the most jumbled conglomerates of the late 1960s. It was a predecessor of today’s AMF Bowling Worldwide, which operates bowling alleys and manufactures bowling equipment.

*** _** Nowadays, investors need to be aware of several other “accounting factors” that can distort reported earnings. One is “pro forma” or “as if” financial statements, which report a company’s earnings as if Generally Accepted Accounting Principles (GAAP) did not apply. Another is the dilutive effect of issuing millions of stock options for executive compensation, then buying back millions of shares to keep those options from reducing the value of the common stock. A third is unrealistic assumptions of return on the company’s pension funds, which can artificially inflate earnings in good years and depress them in bad. Another is “Special Purpose Entities,” or affiliated firms or partnerships that buy risky assets or liabilities of the company and thus “remove” those financial risks from the company’s balance sheet. Another element of distortion is the treatment of marketing or other “soft” costs as assets of the company, rather than as normal expenses of doing business. We will briefly examine such practices in the commentary that accompanies this chapter.

*** _** Northwest Industries was the holding company for, among other businesses, the Chicago and Northwestern Railway Co. and Union Underwear (the maker of both BVD and Fruit of the Loom briefs). It was taken over in 1985 by overindebted financier William Farley, who ran the company into the ground. Fruit of the Loom was bought in a bankruptcy proceeding by Warren Buffett’s Berkshire Hathaway Inc. in early 2002.

*** _** Graham is referring to the provision of Federal tax law that allows corporations to “carry forward” their net operating losses. As the tax code now stands, these losses can be carried forward for up to 20 years, reducing the company’s tax liability for the entire period (and thus raising its earnings after tax). Therefore, investors should consider whether recent severe losses could actually *improve* the company’s net earnings in the future.

† _ Investors should keep these words at hand and remind themselves of them frequently: “Stock valuations are really dependable only in exceptional cases.” While the prices of most stocks are approximately right most of the time, the price of a stock and the value of its business are